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Weathering the Storm

A NUMBER OF BANKS MUSHROOMED UNDER the stimulus of swadeshi or the lure of profits in the closing decade of the nineteenth century and the opening decade of the twentieth century. By 1913 the number of banking and loan companies had risen to 451 and between the years 1906–11, deposits had doubled from ₹12 crore to ₹25 crore. Deposits had registered an increase of 950 percent between 1890 and 1911.[1] Many of these institutions adopted very questionable methods of working. They carried on business without getting the values of shares paid-up, kept no (or a negligible) reserve fund, published no (or misleading) balance sheets, and accepted deposits without any regard to the amount of their paid-up capital or reserve fund. A large number of the so-called swadeshi banks were promoted and run by persons utterly ignorant of the basic principles of banking, finance, and economics.[2]

Banking Failures

Vithaldas Thackersey (later Sir), Chairman of the Indian Specie Bank had warned in early 1912 that ‘every banking institution has to work with extreme caution in selecting its investments and to insist on larger cash balances in hand.’[3] It was ironic that his own bank collapsed within a year —Thackersey failed to build an ark for his own establishment after sounding the warning of the impending deluge. Greed, as in most cases, was at the bottom of this bubble as well. In their desire to make quick profits, unscrupulous promoters and management coupled trading with